

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

June 2013

Latitude 45

2013-06-18



Innovative Business Support & Promotion

1 Table of Contents

2	Imports	4
2.1	Velvet Imports	4
2.1.1	Young Antlers, Whole HS No. 0507.90.1110	4
2.1.2	Young Antlers, Other HS No. 0507.90.1190.....	5
2.1.3	Hard Antler Imports HS No. 0507.90.1200	5
2.2	Quarantine Statistics of Deer Velvet from Major Exporters.....	6
2.2.1	Year to date.....	6
2.2.2	Full Year.....	6
2.2.3	Quarantine Fail – Year to Date.....	7
3	Retail Prices of Deer Velvet to Individual Consumers.....	8
3.1	Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)	8
3.2	Fresh Deer Velvet (Local, online shopping)	8
4	Local Deer Industry	9
4.1	Nongshim’s Ganglio Coffee sells poorly	9
4.2	April 25 th , 18 ,241 OMDs report license.....	9
4.3	Oriental medicine in the global medical tourism market.....	10
4.4	26 arrested for selling New Zealand deer velvet as Korean	10
4.5	2013 KDBA plan to purchase velvet from members.....	10
4.6	Deer Day event held in Seoul.....	10
4.7	STC Life stem cell research centre, develops new functional health food using deer velvet blood (녹용 혈액).....	11
4.8	Joint health product release by JBT	11
4.9	KBDA appoints new Chairman	12
4.10	State of Korea functional health food market.....	12
4.11	KBDA name change.....	13
4.12	Historical annual statistics for number of deer farmed in Korea	14

4.13	Push for Korea-New Zealand 'Deer Breeding Industry MOU	15
4.14	Over a hundred Russian deer-related products. Chairman of the Russia Malal? Council visits the KDBA.	16
4.15	2012 Expenditure of the Korea Deer Breeders Association	16
5	Other comments / meeting notes.....	17

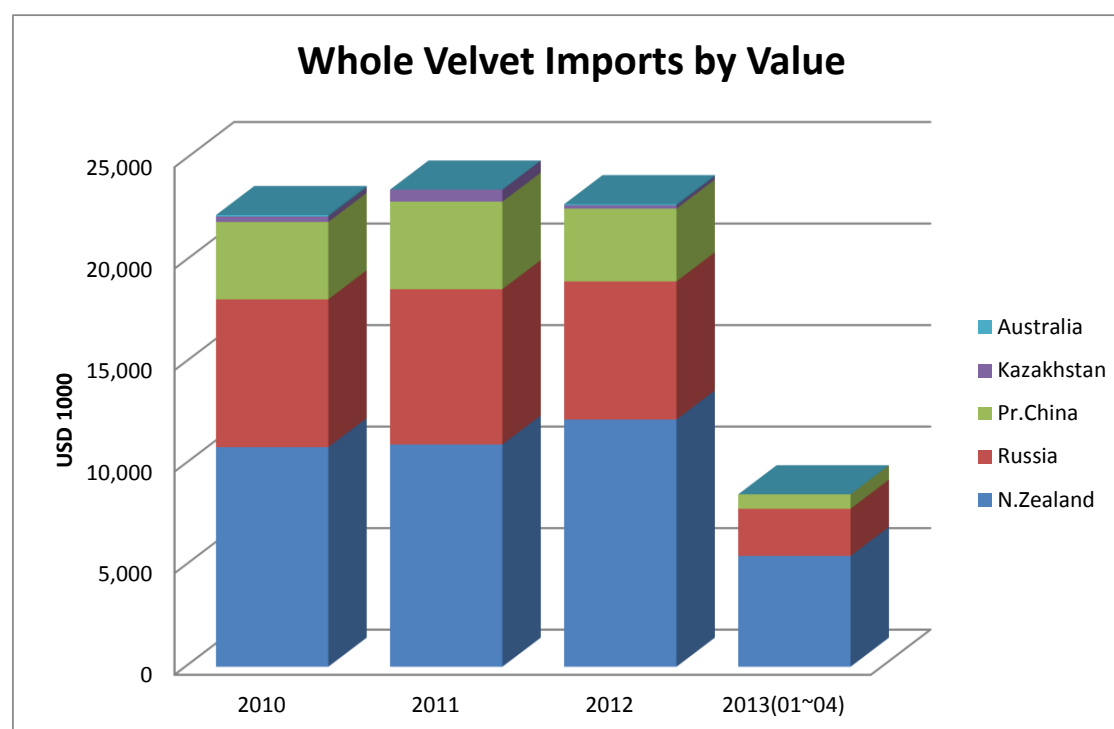
2 Imports

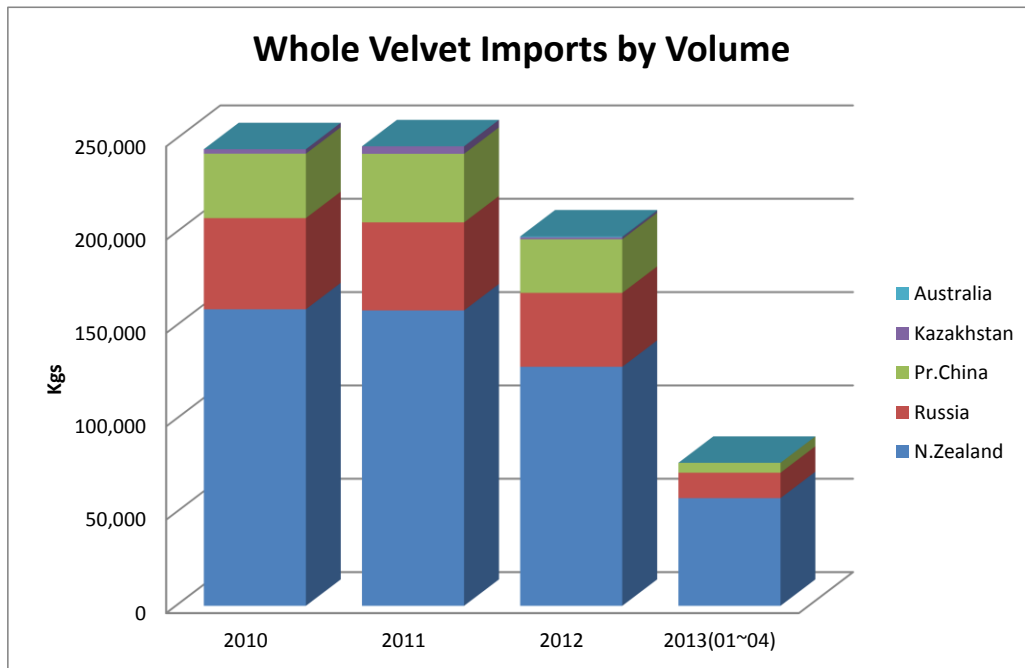
2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2010			2011			2012			2013(01~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	22,247	246,623		23,497	246,188		22,779	197,907		8,491	76,605	
1	N.Zealand	10,813	158,875	68	10,946	158,276	69	12,176	128,048	95	5,456	57,684	95
2	Russia	7,281	48,841	149	7,647	47,142	162	6,801	39,615	172	2,325	13,600	171
3	Pr.China	3,811	34,514	110	4,314	36,742	117	3,584	28,731	125	711	5,321	134
4	Kazakhstan	272	2,393	114	591	4,028	147	165	1,063	155	-	-	-
5	Australia	70	2,00	-	-	-	-	54	450	120	-	-	-
	NZ Share (%)	48.60	64.42		46.58	64.29		53.45	64.70		64.26	75.30	

Value = 1000USD, Weight = kg





2.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2010			2011			2012			2013(01~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	100	33		88	80		81	77		28	22	
1	N.Zealand	58	8	7,250	47	36	1,306	52	49	1,061	21	11	1,909
2	Australia	42	25	1,680	40	42	952	29	28	1,036	7	11	636
3	U.S.A	0	-	-	0	1	0	0	-	-	-	-	-
4	Pr.China	-	-	-	0	1	0	-	-	-	-	-	-
	NZ Share (%)	58.00	24.24		53.41	45.00		64.20	63.64		75.00	50.00	

Value = 1000USD, Weight = kg

2.1.3 Hard Antler Imports HS No. 0507.90.1200

Rank	Country	2010			2011			2012			2013(01~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,219	202,444		2,511	224,058		2,282	189,566		296	24,403	
1	Russia	2,000	183,000	11	2,508	224,035	11	2,229	185,298	12	248	20,400	12
2	N.Zealand	34	3,420	10	0	3	0	51	4,251	12	48	4,000	12
3	Australia	63	6,024	10	2	20	100	2	17	118	1	3	333
4	Mongolia	62	5,000	12	-	-	-	-	-	-	-	-	-
5	Argentina	60	5,000	12	-	-	-	-	-	-	-	-	-
	NZ Share(%)	1.53	1.69		0	0		2.23	2.24		16.22	16.39	

Value = 1000USD, Weight = kg

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Year to date

2.2.1.1 Velvet

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	MAY 11 – APR 12		MAY 12 – APR 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	28,275.90	88,976.60	18,406.28	70,230.85
China	64,825.10	8.3	66,273.39	8.5
Russia	36,042.90	-	35,613.14	-
Hong Kong	9,797.60	-	10,715.78	-
Kazakhstan	3,177.20	-	1,063.00	-
Australia	104.8	-	79.22	1.70
Canada	7.6	-	5.84	-
USA.	37.1	-	21.14	-
Singapore	-	-	0.7	-
Taiwan	3.3	-	11.10	-
Others	1.2	7.09	-	1.45
Total	142,272.70	88,992.00	132,189.59	70,242.50
Overall Total	231,264.70		202,432.09	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.1.2 Hard Antler

COUNTRY	MAY 2011 ~ APR 2012	MAY 2012 ~ APR 2013
New Zealand	-	8,255.905
Hong Kong	197,858.00	142,110.00
Russia	8,022.90	12,730.00
China	5,300.20	-
Japan	2.1	-
Australia	-	1.28
USA.	-	0.4
Total	211,183.20	163,097.59

2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	JAN 11 – DEC 11		JAN 12 – DEC 12	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)

New Zealand	27,476.4	99,841.5	20,612.5	66,275.1
China	64,045.7	14.1	65,789.8	10.3
Russia	35,181.6	-	35,922.7	-
Hong Kong	9,560.1	-	9,136.6	-
Kazakhstan	4,029.3	-	1,063.0	-
Australia	101.2	-	93.4	-
USA.	32.9	5.5	31.6	-
Singapore	1,025.4	-	0.7	-
Others	9.7	6.3	19.6	0.8
Total	141,462.3	99,867.4	132,669.9	66,286.2
Overall Total	241,329.7		198,956.1	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.3 Quarantine Fail – Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While ‘banned origin’ shows only a small volume it is likely that the ‘No COQ’ would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

COUNTRY	MAY 11 – APR 12				MAY 12 – APR 13			
	DRIED VELVET (KG)		RAW VELVET (KG)		DRIED VELVET (KG)		RAW VELVET (KG)	
China	No COQ 0.2	No COQ 2.0	No COQ 1,470.0	Banned origin 8.5	Banned origin 0.5	Banned origin 1.2		
	Banned origin 4.4	Banned origin 6.3						
USA.	No COQ 0.2	-	Banned origin 21.1	-				
	Banned origin 36.8							
Canada	Banned origin 7.6	-	Banned origin 5.84	-				
Hong Kong	-	-	-	-				
Japan	Banned origin 1.1	Banned origin 0.2	-	1.5				
		Drying defect 0.8						
Brazil	-	Banned origin 3.6	-	-				
Taiwan	Banned origin 3.3	-	-	-				
Spain	-	Banned origin 1.5	-	-				
Others	0.1	1.0	-	-				
Total	53.8	15.4	1,498.6	10.0				
Overall Total	69.2		1,508.6					

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

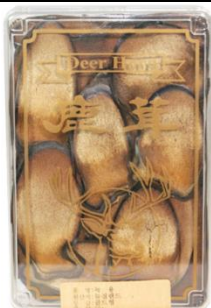
3 Retail Prices of Deer Velvet to Individual Consumers

There has been no change in pricing since the previous report in March.

3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

Packaging: 2 nyang (75g) retail pack

	New Zealand	Russia	Korea
Bungol (tip)	KRW 107-108,000	KRW 142-150,000	KRW 180,000
Sangdae (upper part)	KRW 80-90,000	KRW 107-108,000	KRW 130,000
Jungdae (middle part)	KRW 62-63,000	KRW 85,000	KRW 110,000



1

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2013-03)

Packaging: 5 nyang (200g) retail pack

Bungol (tip)	KRW 160-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 70-100,000

1

http://herbseoul.com/front/php/product.php?product_no=1584&main_cate_no=&display_group=&cafe_mkt=naver_cc&NVKWD=%EB%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+ODO1003phK9drNC90042



2

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

4 Local Deer Industry

4.1 Nongshim's Ganglio Coffee sells poorly

Nongshim's recently released Ganglio coffee is not selling well. This may be due to its price point, 2~3 times more expensive than regular coffee mix. The coffee was named by the Chairman of Nongshim, and popular actor Beom-Soo Lee was used to promote it on TV. In spite of this sales are not strong. Poor distribution has also been noted as a problem.

Source: MK News, April 29th 2013³

4.2 April 25th, 18,241 OMDs report license

Registration of OMDs by region: (as of April 25th, 2013)

The main centres:

Seoul	3975	Daejeon	603
Gyeonggi	2743	Chungnam	488
Busan	1158	Gwangju	469
Daegu	837	Jeonnam	448
Gyeongnam	795	Gangweon-Do	361
Gyeongbuk	632	Chungbuk	340

² http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdn=205>ype=1&ctpose=AAC

³ <http://news.mk.co.kr/newsRead.php?year=2013&no=328764>

Jeonbuk	625	Ulsan	307
Incheon	616	Jeju	140

Source: AKOM News, April 29th 2013⁴

4.3 Oriental medicine in the global medical tourism market

The number of foreign patients receiving treatment in Korea doubled from 2009 to 2011. The percentage of these patients receiving oriental medical treatment increased from 2.9% to 6.3% over the same period. Total recorded number of 9793 patients in 2011, an increase of 127.2% over the previous year. In 2010 the increase was 133.7%.

Source: AKOM News, April 29th 2013⁵

4.4 26 arrested for selling New Zealand deer velvet as Korean

On April 21st, 23 people were arrested in Busan for selling NZ velvet as Korean velvet for a high price. Suspected on selling 5625kg of fresh NZ velvet as local velvet from June 2009 to February 2013. Those over 60 as the target, saying Korean velvet and effect is 40~50 times greater than dried velvet.

Source: MK News, April 22nd, 2013⁶

4.5 2013 KDBA plan to purchase velvet from members

In order to promote the stable operation of its members' farms, the KDBA is planning to buy a large amount of velvet from its members. The Association will take applications from its members and purchase velvet at wholesale prices. This will be the first year the Association has taken such action. The price will be determined by considering the state of supply/demand in the market.

Source: Deer Times, March 10th 2013

4.6 Deer Day event held in Seoul

On April 3rd the annual Deer Day event was held by the KBDA in Myeong-Dong, Seoul. Representatives of the Association came out to give a speech and help promote local Deer velvet. Members of the public were given free deer velvet drinks and deer velvet rice desserts.

4

http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=83143&page=/subpage/search.php&nowpage=1&search_word=%C7%D1%C0%C7%BB%E7%20%B8%E9%C7%E3&search_key=all&sadop_date=--&eadop_date=--

5

http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=83148&page=/subpage/search.php&nowpage=1&search_word=%B1%DB%B7%CE%B9%FA%20%C0%C7%B7%E1%B0%FC%B1%A4%20%BD%C3%00%E5&search_key=all&sadop_date=--&eadop_date=--

⁶ <http://news.mk.co.kr/newsRead.php?year=2013&no=308632>



Source: Livestock News, April 8th 2013⁷

4.7 STC Life stem cell research centre, develops new functional health food using deer velvet blood (녹용 혈액)

On April 1st, leader in Korea stem cell research and development, STC Life, revealed that it has a nutrition tonic (자양강장제) using parts of deer blood. PRP (Platelet-rich plasma) provides essential nutrients and helps with energy recovery. The product uses the blood collected when deer velvet is harvested.

Source: The Hankyoreh, April 8th 2013⁸

4.8 Joint health product release by JBT

On March 22nd, JBT released a new deer velvet extract supplement product that is purported to help with joint ailments. This product was developed through joint research with the Geonguk University Deer Velvet Research Centre. JTB explains that various traditional oriental Korean medicine ingredients are added to make a deer velvet extract that aids with joint ailments and bone strengthening. The extract has received recognition from the KFDA as a natural functional material that aids joint health.

⁷ <http://www.chuksannews.co.kr/news/article.html?no=78961>

⁸ <http://www.hani.co.kr/arti/economy/biznews/581740.html>



9

Source: *The Korea Economic Daily*, March 25th 2013¹⁰

4.9 KBDA appoints new Chairman

Yoo-Hwan Jeong has been appointed as the new head of the Korea Deer Breeders Association. He runs a deer farm in Gangwon-Do. His term runs until February 28th 2016.

Source: *AFL News*, March 4th 2013¹¹

4.10 State of Korea functional health food market

Rank		Total production value (hundred thousand won)					Growth (‘12/’11,%)
		2008	2009	2010	2011	2012	
	Total production value (hundred thousand won)	8,031	9,598	10,671	13,682	14,091	3.0
1	Red Ginseng	4,184	4,995	5,817	7,191	6,484	-9.8
2	Products using separately recognised, new functional	416	799	1,129	1,435	1,807	25.9

9

http://www.hannokwon.com/shopping/shop/listbody.html?a_gb=shop&a_cd=5&a_item=0&sm=6_5&po_it_no=class522&po_no=22&po_it_lclass=class5

¹⁰ <http://www.hankyung.com/news/app/newsview.php?aid=2013032519601>

¹¹ http://www.aflnews.co.kr/aflnews/news/news_contents.asp?news_code=2013030404123&c_code=0404

	ingredient						
3	Vitamins/Minerals	531	761	991	1,561	1,646	5.4
4	Aloes	639	648	548	692	687	-0.7
5	Probiotics	190	254	317	405	518	27.9

- Last year the Korean market for functional health foods slowed down from the previous year, and overall growth of the market only reached 3%.
- This compares well to overall increases in total national production, which saw an increase of 2.82% over the same period. However, it is a sharp drop from the 28% increase seen in 2011 (Increases in 2008 of 11%, 2009 19%, 2010 11% and 2011 28%).
- The KFDA attributes this to the general poor state of the economy in Korea and overseas, leading to consumers preferring low and medium priced goods.
- In 2012 Red Ginseng products held 46% of market share, and showed the poorest growth rates.
- KGC has maintained its number one status in functional health food production since 2004, and has a production value of 474 billion won.
- The KFDA predicts constant growth in the functional health food market due to the overall aging of the Korean population.
- In 2012 the export value of functional health foods increased 5% to 58 billion won.

Source: AKOM News, May 27th 2013¹²

4.11 KBDA name change

The Korea Deer Breeders Association has changed the Korean version of its name for the first time since its establishment 38 years ago. The English version of the name remains unchanged. The Korean version's literal translation has been changed from Korea Deer Breeder's Association to Korea Deer Association. This was due to the fact that outside of those related to the industry few people knew the meaning of the Korean word for Deer Breeding/Industry

Source: Livestock News, May 27th 2013¹³

¹²

http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=83880&page=/subpage/search.php&nowpage=1&search_word=%C8%AB%BB%EF&search_key=all&sadop_date=2004-03-02&eadop_date=2013-05-29

¹³ <http://www.chuksannews.co.kr/news/article.html?no=80077>

4.12 Historical annual statistics for number of deer farmed in Korea

The following table represents the number of deer farmed in Korea annually. The figures appearing in the white boxes are the total number of deer in the categories represented in the brown boxes (number of deer per farm).

■ 연도별 시슴 사육두수

(단위 : 두)

구분	1~9두	10~49두	50~99두	100~199두	200~299두	300~499두	500두 이상	계
'92	22,723	39,535	6,120	1,615	0	0	0	66,993
'93	24,079	42,773	8,107	2,088	400	300	0	77,747
'94	26,606	49,535	7,993	3,053	939	650	0	88,776
'95	28,868	56,554	10,494	3,609	652	1,960	0	102,137
'96	28,846	61,080	13,869	4,875	934	1,309	500	111,413
'97	28,528	71,598	17,189	6,277	514	2,910	800	127,816
'98	30,628	74,785	21,060	5,444	2,068	2,190	1,100	137,275
'99	32,618	75,690	20,105	6,382	1,894	3,501	550	140,740
'00	33,980	79,606	22,496	7,238	2,870	3,076	1,200	150,466
'01	34,980	83,712	22,707	10,071	1,260	2,096	1,250	156,076
'02	33,517	81,474	24,018	9,419	1,320	3,040	650	153,438
'03	31,062	74,642	23,652	9,895	1,945	2,180	1,550	144,926
'04	28,793	70,977	23,077	9,982	2,921	352	2,200	138,302
'05	26,380	64,392	20,534	9,298	2,057	632	2,360	125,653
'06	23,838	54,649	18,111	8,321	2,629	1,310	1,300	110,158
'07	20,911	48,112	15,714	7,924	2,423	2,172	600	97,866
'08	20,544	35,936	12,287	6,123	2,351	712	900	78,853
'09	16,001	37,723	12,338	6,358	1,993	359	500	75,272
'10	14,556	31,054	10,180	5,887	950	1,800	500	64,927
'11	11,751	26,291	7,637	3,512	220	1,500	500	51,411

The following table represents the number of deer farms/households with deer in Korea annually. The figures appearing in the white boxes are the total number of deer farms/households in the categories represented in the brown boxes (number of deer per farm).

■ 연도별 사슴 사육규모별 가구수

(단위 : 가구수)

구분	1~9두	10~49두	50~99두	100~199두	200~299두	300~499두	300~499두	계
'92	4,783	2,798	97	12	0	0	0	7,090
'93	4,977	2,458	126	17	2	1	0	7,581
'94	5,616	2,677	127	24	4	2	0	8,450
'95	5,713	5,031	189	29	3	5	0	8,950
'96	5,880	3,303	220	39	4	4	1	9,451
'97	6,074	3,776	282	49	2	8	1	10,192
'98	6,582	3,893	336	45	9	6	2	10,873
'99	7,089	3,889	318	54	8	10	1	11,369
'00	7,591	4,097	365	60	13	9	2	12,137
'01	7,784	4,318	371	77	6	6	2	12,564
'02	7,672	4,194	379	77	6	8	1	12,337
'03	7,160	3,875	368	80	10	5	3	11,501
'04	6,744	3,617	414	81	13	1	4	10,874
'05	6,246	3,232	323	76	10	1	4	9,892
'06	5,615	2,850	286	80	12	4	2	8,849
'07	5,005	2,579	266	69	11	6	1	7,937
'08	3,879	1,863	224	108	17	2	2	6,095
'09	3,842	1,901	193	50	8	1	1	5,996
'10	3,557	1,590	163	49	4	5	1	5,369
'11	2,790	1,322	119	29	1	4	1	4,266

〈참고: 농축산부 기타가축통계〉

Source: Livestock News, May 6th 2013¹⁴

4.13 Push for Korea-New Zealand 'Deer Breeding Industry MOU

On April 11th, the Chairman of the KDBA and Rhys Griffiths of DINZ met and agreed to work towards an MOU. This agreement would be in the interest of developing the deer breeding industry in both countries. The Chairman of the KDBA commented that he hoped for technical exchange by both countries, which Mr Griffiths showed a very positive response to. Griffiths pushed the point that it was necessary to change the understanding of the bilateral relationship to one recognised as a positive relationship for both countries. Mr Griffiths also mentioned the possibility of providing technical support. This autumn the KDBA will visit New Zealand to look at aspects of health and sanitation in deer farming.

Source: Deer Times, March 25th 2013

¹⁴ <http://www.chuksannews.co.kr/news/article.html?no=79596>

4.14 Over a hundred Russian deer-related products. Chairman of the Russia Malal? Council visits the KDBA.

It appears that the Russian Deer Breeding Industry is far more advanced than was originally thought. Representatives (including Chairman Alexander Povlov) from the Russia Malal Council visited the KBDA on March 26th. The Chairman stated that in the Siberia Altai region there are currently around 120 deer farms with eighty thousand deer. Russia's production is 80% reliant on export and has been producing deer related products for the last 15 years. There are currently around 100 of these products.

Source: Deer Times, March 25th 2013

4.15 2012 Expenditure of the Korea Deer Breeders Association

Category	Details	Expenditure (thousand won)
Consumer Promotion	Deer Day Event	51,789
	Top Deer Competition	27,631
	Livestock product brand exhibition	11,605
	Safe farm product sale and promotion event 안전농산물 판매 및 홍보행사	11,222
	Korea deer velvet promotion event 국산녹용홍보행사	26,649
	Promotion materials 홍보물제작	22,550
	Subtotal	151,446
Supply of education/information	Deer Breeder's Advancement Competition	1,557
Member fee	Administration Committee Fee	6,287
Total		159,287

Source: Deer Times, 25th March 2013

5 Other comments / meeting notes

Other meetings with the likes of C1, Omniherb, KDBA and Life and Gin have been discussed directly with DINZ.